LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

What Is Food Processing Finance?

Developed by www.loanbazaaronline.com

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Executive Summary & Course Orientation

Food Processing Finance represents a specialized branch of structured corporate credit, agricultural capex financing, and government-subsidized debt tailored to bridge the capital gap between raw farm-gate produce and high-value consumer-packaged food products. In India, food processing is designated as a "Sunrise Sector," acting as the critical economic bridge between the agricultural economy and urban retail consumption. Despite generating vast agricultural output—ranking first globally in milk, pulses, and spices, and second in fruits, vegetables, tea, sugarcane, and wheat—India historically suffered from severe post-harvest wastage estimated at over ₹92,000 crore annually due to inadequate processing, cold chain, and preservation infrastructure.

To solve this structural bottleneck, the Ministry of Food Processing Industries (MoFPI), Ministry of Agriculture & Farmers Welfare, Reserve Bank of India (RBI), and NABARD have established an integrated financial ecosystem. Food Processing Finance combines long-term capex term loans (for land, factory civil works, imported processing machinery, and cold chain utilities) with revolving working capital facilities (for seasonal raw material procurement, packaging, and inventory holding). These facilities leverage central and state government capital subsidies under schemes like **Pradhan Mantri Kisan SAMPADA Yojana (PMKSY)**, **Pradhan Mantri Formalisation of Micro Food Processing Enterprises (PMFME)**, and the **Agriculture Infrastructure Fund (AIF)**, offering interest subventions of **3.00% p.a.** and capital grants ranging from **35% to 50%** of eligible project costs.

This white paper reference manual is designed as an exhaustive masterclass for finance professionals, credit underwriters, investment bankers, and corporate promoters. Upon mastering this document, a trainee will possess the technical depth required to evaluate, structure, underwrite, and manage Food Processing Finance facilities, as well as pass professional certification examinations in Indian trade and corporate credit.

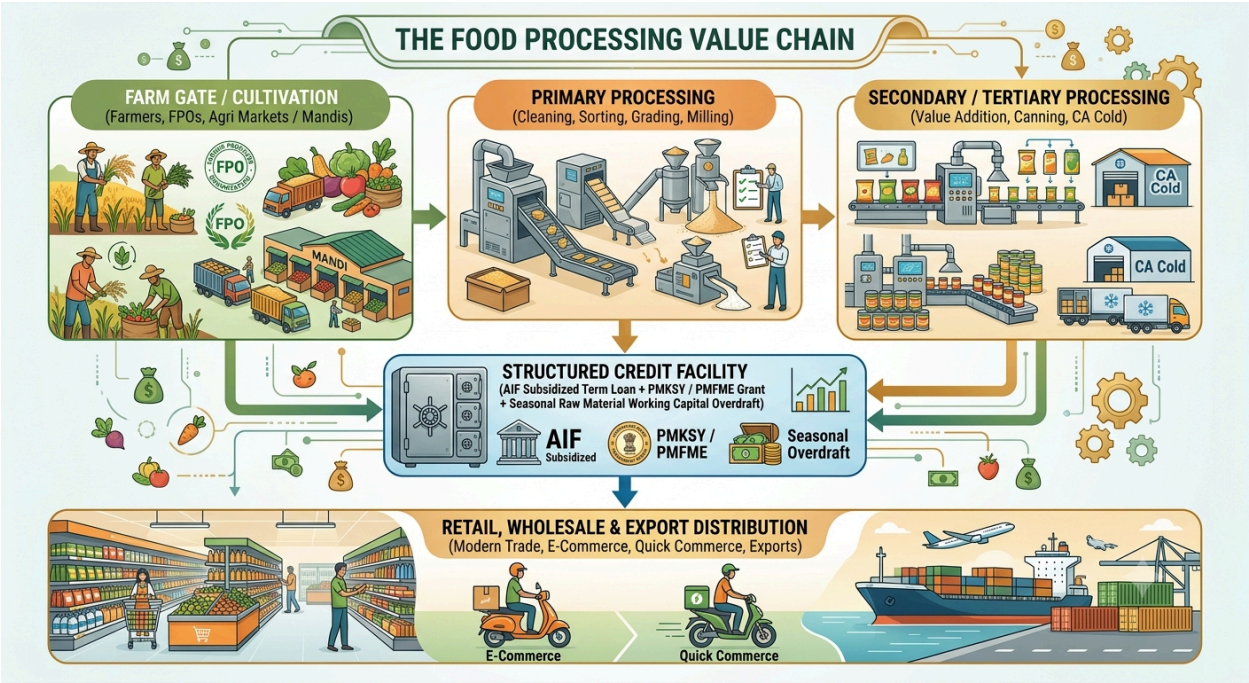
Module 1: Theoretical Foundations, Statutory Definitions & Product Philosophy of Food Processing Finance

1.1 The Farm-to-Fork Value Chain & Economic Mandate

Food processing involves any transformation of raw agricultural, horticultural, livestock, or marine produce into edible food products or intermediate raw materials for food manufacturing. The economic mandate of Food Processing Finance rests on three pillars:

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1. **Value Addition & Wastage Reduction:** Converting perishable seasonal produce (e.g., tomatoes, mangoes, milk, shrimp) into shelf-stable packaged goods (e.g., tomato paste, fruit pulp, cheese, frozen seafood), preventing post-harvest distress sales and physical spoilage.
2. **Farmers' Income Multiplier:** Establishing assured off-take contracts and contract farming linkages with Farmer Producer Organizations (FPOs) and local cultivators, stabilizing farm-gate prices during peak harvest seasons.
3. **Export & Import Substitution:** Meeting stringent international food safety standards (FSSAI, US FDA, ISO 22000, HACCP) to export processed food to global markets, earning foreign exchange while fulfilling domestic urban demand.



1.2 Government Policy Framework & Central Schemes

Food processing facilities in India benefit from an unprecedented confluence of central and state government subsidy schemes designed to lower the weighted average cost of capital (WACC) and enhance Debt Service Coverage Ratios (DSCR):

- **Pradhan Mantri Kisan SAMPADA Yojana (PMKSY):** A comprehensive Central Sector Umbrella Scheme implemented by MoFPI. It includes key sub-schemes:
  - **Mega Food Parks:** Providing capital grants up to **50%** of eligible project costs in general areas and **75%** in North-Eastern/Hilly states (capped at ₹50 Crores per park) to establish common infrastructure.

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  - **Creation / Expansion of Food Processing & Preservation Capacities (CEFPPC):** Offering capital grants of **35%** (general areas) to **50%** (difficult areas) of eligible plant and machinery costs, capped at **₹5 Crores** per project.
  - **Integrated Cold Chain and Value Addition Infrastructure:** Providing 35% to 50% grants for cold storage, quick freezing, reefer vans, and pack-houses, capped at **₹10 Crores** per project.
  - **Agro Processing Clusters (APC):** Granting 35% to 50% capital subsidies for establishing common processing facilities, capped at **₹10 Crores**.
- **Agriculture Infrastructure Fund (AIF):** A ₹1 Lakh Crore Central Sector Scheme offering a **3.00% p.a. interest subvention** on term loans up to **₹2 Crores** for a maximum tenure of **7 years**, alongside credit guarantee fee coverage under CGTMSE.
- **PM Formalisation of Micro Food Processing Enterprises (PMFME):** Aimed at unorganized micro-units, offering a **35% credit-linked capital subsidy** capped at **₹10 Lakhs** per unit, alongside seed capital of ₹40,000 per member for SHG workers.
- **Production Linked Incentive (PLI) Scheme for Food Processing Industry:** A ₹10,900 Crore financial incentive program for sales-based growth in ready-to-eat (RTE), processed fruits/vegetables, marine products, and mozzarella cheese.

1.3 Priority Sector Lending (PSL) Directives

Under Reserve Bank of India (RBI) Master Directions on Priority Sector Lending (FIDD.CO.PSD.BC.13/04.09.001/2024-25), loans to food and agro-processing units are classified under **Priority Sector Lending (Agriculture - Ancillary Activities)** without any aggregate ceiling per borrower unit. Scheduled Commercial Banks (SCBs) are mandated to allocate 18% of Adjusted Net Bank Credit (ANBC) or Credit Equivalent Amount of Off-Balance Sheet Exposure (CEOBE) to agriculture, creating intense competitive bank appetite for food processing credit.

Module 2: Structural Taxonomy and Comparative Analysis

2.1 Facility Classification: Term Loans vs. Working Capital

Food Processing Finance is inherently a hybrid credit structure combining long-term project debt with seasonal revolving facilities:

1. **Project Capex Term Loan:** Funds civil construction (factory building, cleanrooms, cold rooms), specialized stainless-steel processing machinery (SS 316 grade machinery, pasteurizers, retorts, IQF freezers, automated packaging lines), and utility infrastructure (boiler, ETP, transformer, backup gensets). Tenures range from **7 to 12 years** with a **12 to 24-month moratorium**.

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2. **Seasonal Raw Material Working Capital Overdraft / Cash Credit:** Food processing raw material procurement is highly seasonal (e.g., paddy harvest in Nov-Jan; mango harvest in April-June). Financiers structure revolving Cash Credit (CC) or Working Capital Demand Loans (WCDL) with elevated seasonal Drawing Power (DP) limits, allowing processors to bulk-procure 6 to 9 months of inventory during peak harvest when prices are lowest.
3. **Receivable Discounting / Channel Financing:** Post-production credit discounting supplier invoices raised on major FMCG buyers, modern retail chains (e.g., Reliance Retail, DMart), or quick-commerce platforms via TReDS or direct bank buyer-led programs.

2.2 Comparative Capital Matrix

The table below contrasts Food Processing Finance against alternative corporate debt structures in India:

Feature / Metric	Food Processing Finance (Subsidized Capex + WC)	Standard Industrial Capex Term Loan	Unsecured Business Loan	Working Capital Cash Credit (CC)
Primary Collateral	First charge on Land, Building, Plant & Machinery + Govt Subsidy Escrow	First charge on industrial fixed assets	None (Pure Cash Flow / Personal Guarantee)	Hypothecation of Current Assets (Stock & Book Debts)
Effective Interest Rate	**5.50% - 8.50% p.a.** (Net of 3% AIF subvention & state subsidies)	9.50% - 12.50% p.a.	16.00% - 24.00% p.a.	8.50% - 11.50% p.a.
Capital Grant Availability	**35% - 50%** under PMKSY / PMFME (capped ₹5 Cr - ₹50 Cr)	None (or basic state industrial policy 10% grant)	None	None

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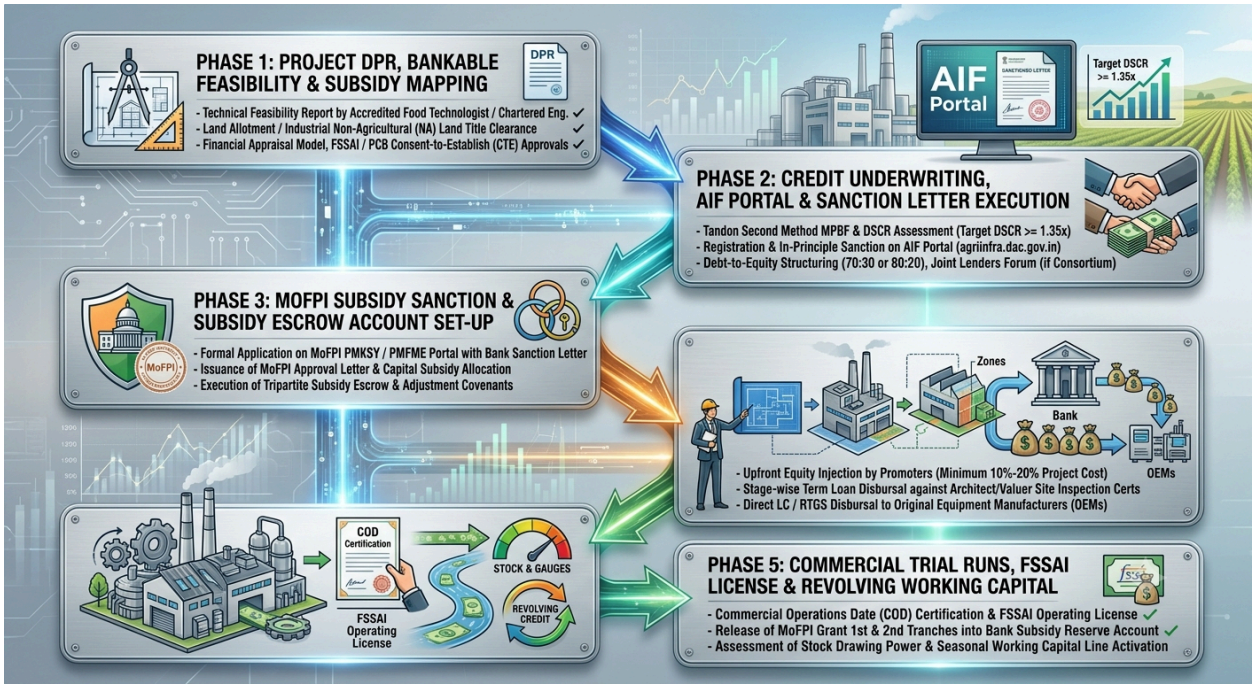
Feature / Metric	Food Processing Finance (Subsidized Capex + WC)	Standard Industrial Capex Term Loan	Unsecured Business Loan	Working Capital Cash Credit (CC)
Max Loan Tenure	**10 - 15 Years** (incl. 2-year moratorium)	5 - 7 Years	1 - 3 Years	1 Year (Revolving Renewal)
Promoter Margin (LTV)	**10% - 20%** of Project Cost	25% - 35% of Project Cost	N/A (0% margin)	25% - 30% Stock Haircut
RBI PSL Status	**Yes (Agri-Ancillary - 100% PSL Eligible)**	No (Non-PSL Commercial)	No	Yes (if MSME/Agri classified)
Regulatory Framework	MoFPI Guidelines, RBI PSL, FSSAI Act, Contract Act Sec 58(f)	Companies Act, RBI Commercial Credit Directions	RBI Unsecured Lending Rules	RBI IRACP Norms, Tandon MPBF
Tax Depreciation Rate	**40% WDV** (Cold storage / specialized equipment) / 15% General	15% General WDV	N/A	N/A

Module 3: The End-to-End Operational Lifecycle of Food Processing Finance

3.1 The 5-Phase Operational Waterfall

The implementation of a Food Processing Finance facility follows a strict chronological 5-phase operational pipeline:

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3.2 Detailed Phase Execution Mechanics

1. **Detailed Project Report (DPR) & Technical Due Diligence:** The borrower engages a chartered engineer and food technology consultant to prepare a bankable DPR detailing raw material procurement zones, processing mass-balance ratios (e.g., 100 kg raw milk yielding 8.5 kg milk powder and 4.0 kg butter), utility balances (steam, chilled water, power, Effluent Treatment Plant - ETP capacities), FSSAI hygiene layout standards, and financial projections.
2. **AIF Portal Registration & Bank Sanction:** The project is uploaded on the Agriculture Infrastructure Fund (AIF) portal (`agriinfra.dac.gov.in`) or the MoFPI PMKSY portal. Upon credit appraisal, the lending bank issues a formal Sanction Letter incorporating the 3.00% p.a. AIF interest subvention and CGTMSE credit guarantee coverage up to ₹2 Crores.
3. **MoFPI Subsidy Approval & Escrow Covenants:** The MoFPI Project Approval Committee (PAG) reviews the bank sanction letter and issues a formal Approval Letter for the capital grant (e.g., 35% of eligible plant/machinery cost). The bank sets up a **No-Lien Subsidy Reserve Account**. Capital grants disbursed by MoFPI are deposited directly into this reserve account and kept as a term deposit; upon successful COD and verification, the subsidy is adjusted to reduce the principal term loan balance.
4. **Stage-Wise Disbursal against OEM Invoices:** Disbursals occur strictly in stages. Civil construction funds are released based on Chartered Accountant (CA) expenditure certificates and Chartered Engineer (CE) progress reports. Plant and

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machinery funds are disbursed directly to OEM suppliers via Letter of Credit (LC) or RTGS, eliminating any risk of fund diversion.

5. **Commercial Operations Date (COD) & Working Capital Activation:** Following trial runs, FSSAI license grant, and Pollution Control Board (PCB) Consent-to-Operate (CTO) clearance, the bank marks COD. The bank assesses seasonal raw material stock holding and activates the Cash Credit (CC) / Working Capital Demand Loan (WCDL) line based on monthly Drawing Power (DP) statements.

Module 4: Credit Underwriting Framework, Financial Assessment & Risk Scorecards

4.1 Debt Service Coverage Ratio (DSCR) & Sensitivity Analysis

Lenders evaluate the project's debt service capacity over the term loan tenure (7–12 years) using the **Gross Debt Service Coverage Ratio (DSCR)**:

$$DSCR = \frac{PAT + Depreciation + Interest\ on\ Term\ Loan}{Principal\ Amortization\ Repayment + Interest\ on\ Term\ Loan}$$

- **Minimum Benchmark:** Lenders require an **Average DSCR (1.35x)** across the tenure, with no individual year dropping below **1.20x**.
- **Sensitivity Stress Testing:** The credit model must withstand three mandatory stress scenarios:

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1. **Raw Material Price Surge (+15%):** Crop failure or seasonal price spikes reducing gross processing margins.
2. **Capacity Utilization Drop (-20%):** Supply chain bottlenecks or delayed off-take reducing plant throughput.
3. **Interest Rate Shock (+150 bps):** Increase in underlying bank EBLR/MCLR benchmark rates.

4.2 Working Capital Estimation: Tandon & Nayak Committees

Working capital requirements for operating food processing units are assessed using regulatory guidelines:

1. **Tandon Committee's Second Method of Lending (MPBF):** For limits exceeding ₹5 Crores, Maximum Permissible Bank Finance (MPBF) is calculated as:

$$MPBF = 0.75 \times (Total\ Current\ Assets - Current\ Liabilities\ Excluding\ Bank\ Borrowings)$$

This ensures the borrower maintains a minimum **Current Ratio of 1.33:1** funded by Net Working Capital (NWC).

2. **Projected Turnover Method (Nayak Committee):** For MSME units with limits up to ₹5 Crores, working capital is estimated at a minimum of **25% of projected annual sales turnover**, with **20% funded by bank credit** and **5% contributed as promoter margin**.
3. **Cash Budget Method:** For highly seasonal operations (e.g., sugar mills, fruit pulping, spice processing), working capital is assessed using monthly cash inflows and outflows, matching peak credit limits to peak harvest procurement months.

4.3 Risk Scorecards & Borrower Eligibility Criteria

Credit approval requires meeting strict financial and non-financial benchmarks:

- **Promoter CIBIL / Experian Credit Score:** Minimum **700+** for individual promoters/directors; **CIBIL MSME Rank (CMR) of CMR 1 to CMR 4** for existing corporate entities.
- **Interest Coverage Ratio (ICR):** Minimum **ICR (2.00x)** (where (= /)).
- **Debt-to-Equity Ratio:** Maximum **3.0:1** for MSME units; **2.0:1** for large corporate food processing projects.
- **GST & Account Aggregator Reconciliation:** Real-time API validation comparing GSTR-1 sales filings against GSTR-3B tax payment receipts and bank statement velocity, verifying that monthly turnover aligns with reported inventory levels.

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Module 5: Legal Security Architecture, Hypothecation & Statutory Framework

5.1 Primary Security Creation & Mortgage Mechanics

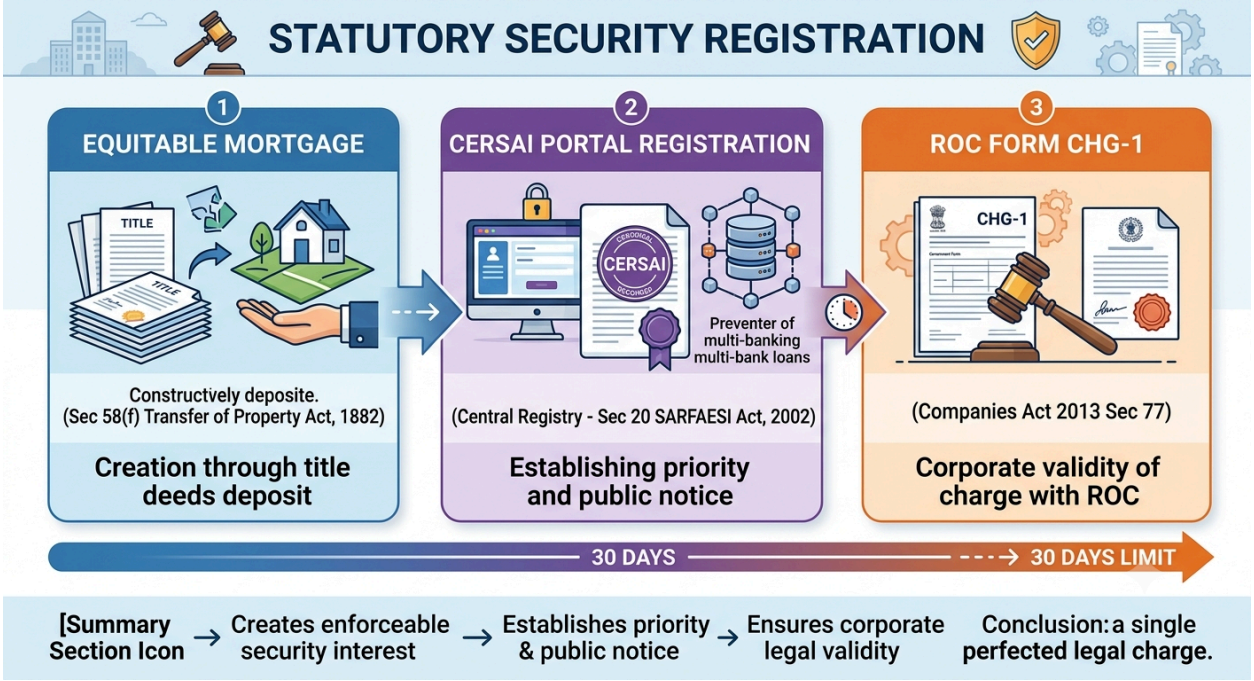
Lenders secure Food Processing Finance facilities through a multi-layered security architecture under Indian property and commercial law:

1. **Equitable Mortgage on Land & Civil Structures:** Created under **Section 58(f) of the Transfer of Property Act, 1882** via deposit of original title deeds with the bank's designated branch in notified towns. Title search reports must cover a minimum 30-year uninterrupted search, backed by Non-Agricultural (NA) land conversion permissions and local industrial park approvals.
2. **Hypothecation of Plant & Machinery:** Executed under **Section 2(1)(n) of the SARFAESI Act, 2002** via a Master Deed of Hypothecation, creating a first pari-passu

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charge over all processing machinery, utility boilers, cold chain equipment, reefer trucks, and office assets.

3. **Hypothecation of Current Assets:** Creating a first charge over raw material stocks (paddy, wheat, milk, spices, frozen fruits), packaging materials, semi-finished goods, finished inventory, and trade book debts.
4. **Pledge of Fixed Deposits:** First lien-marking over Fixed Deposit Receipts (FDRs) maintained as cash margin for working capital or LC issuance under **Section 172 of the Indian Contract Act, 1872**.



5.2 Statutory Charge Registrations & Regulatory Compliance

- **CERSAI Registration:** Mandatory filing on the Central Registry of Securitisation Asset Reconstruction and Security Interest (CERSAI) portal within **30 days** of mortgage or hypothecation charge creation, establishing statutory priority over subsequent creditors under Section 26C of the SARFAESI Act.
- **ROC Form CHG-1 Registration:** For corporate borrowers, registration of charge with the Registrar of Companies (ROC) under **Section 77 of the Companies Act, 2013** within **30 days** of creation.
- **Food Safety and Standards Authority of India (FSSAI) Compliance:** Valid FSSAI Manufacturing License (Central or State depending on capacity) is a mandatory condition precedent for working capital line activation under the Food Safety and Standards Act, 2006.

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- **Pollution Control Board Clearance:** State Pollution Control Board (SPCB) Consent-to-Establish (CTE) prior to disbursal and Consent-to-Operate (CTO) prior to commercial operations, ensuring Effluent Treatment Plant (ETP) compliance.

Module 6: Suitable Sectors, Business Profiles & Market Alignment

6.1 High-Potential Industry Sub-Sectors

Food Processing Finance is best suited for established corporate profiles, mid-market enterprises, FPO clusters, and Agri-entrepreneurs across key sectors:

1. **Dairy & Milk Processing Units:** Automatic pasteurization, Homogenizers, Ultra-High Temperature (UHT) milk packaging lines, Skimmed Milk Powder (SMP) spray dryers, cheese and butter processing plants.

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2. **Grain Milling & Bakery Units:** Automated Roller Flour Mills, Parboiled Rice Mills, Solvent Extraction Plants (Rice Bran / Soybean Oil), automated biscuit and bakery manufacturing plants.
3. **Fruits & Vegetable Processing:** Frozen fruit pulping, Individual Quick Freezing (IQF) lines for green peas and berries, Tomato paste processing, Controlled Atmosphere (CA) cold storage hubs.
4. **Meat, Poultry & Seafood Processing:** Blast freezers, Automated poultry dressing lines, Shrimp processing and cold storage infrastructure meeting EU and US FDA export standards.
5. **Spices & Oleoresins:** Cryogenic spice grinding mills, Oleoresin extraction units, Steam sterilization plants for export-grade spices.
6. **Ready-to-Eat (RTE) & Packaged Foods:** Retort pouch processing, extruded snack manufacturing, beverage bottling lines, and direct-to-consumer (D2C) health food brands.

6.2 Target Borrower Profiles

- **Agri-Corporate Enterprises:** Mid-sized and large private limited companies with annual revenues of ₹20 Crores to ₹500 Crores seeking expansion capital.
- **Farmer Producer Organizations (FPOs) & Cooperatives:** FPOs with 500+ farmer members establishing primary and secondary processing centers at the farm gate.
- **Micro & Small Enterprises (MSMEs):** Unorganized processors upgrading to modern organized processing units under the PMFME credit-linked subsidy scheme.
- **Agri-Logistics & Cold Chain Operators:** Dedicated third-party cold chain logistics providers operating reefer fleets and multi-commodity CA cold stores.

6.3 Commercial Credit Market Footprint

Commercial credit data highlights that **Retail and Wholesale Traders represent the largest segment of working capital borrowers in India, making up 44% of total active commercial borrowers** in the ₹10 Lakh to ₹2 Crore exposure segment. Furthermore, digital supply chain financing portals operated by major banks—such as State Bank of India's **e-DFS (Electronic Dealer Financing Scheme) at ₹49,261 Crores** and **e-VFS (Electronic Vendor Financing Scheme) at ₹28,092 Crores**—provide deep digital integration for distributing processed food products across national retail dealer networks.

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Module 7: Pricing Mechanics, Subsidies, Interest Subvention & Cost-Benefit Analysis

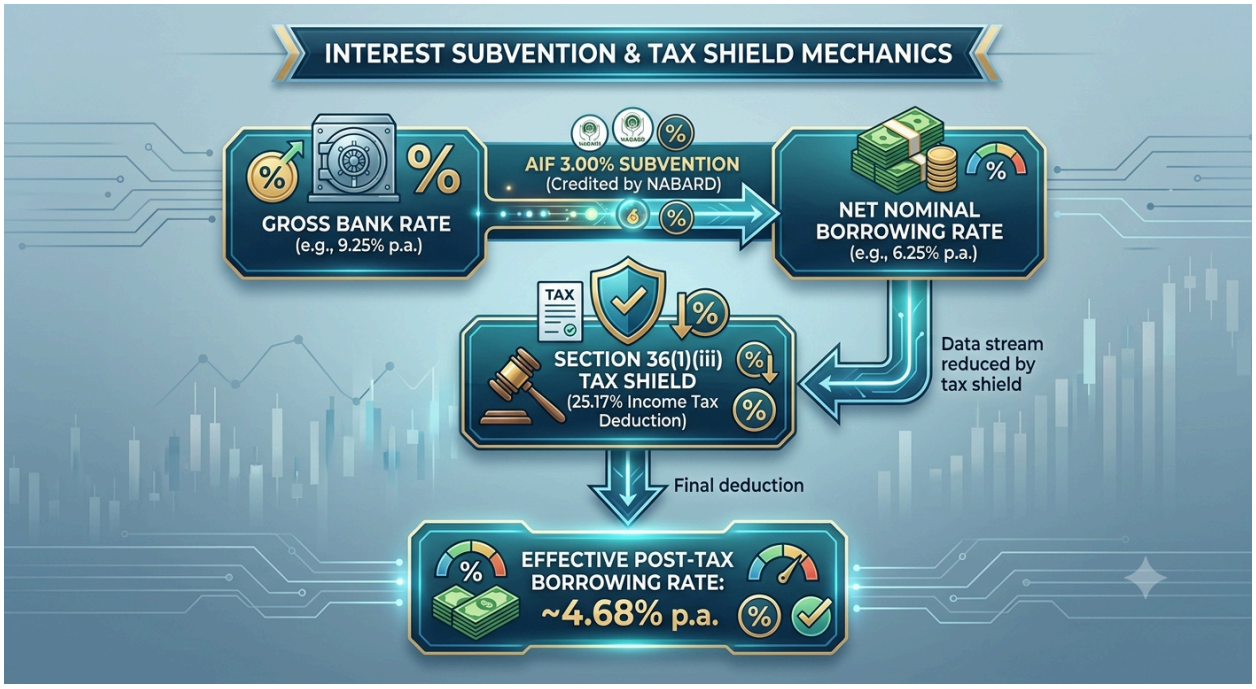
7.1 Pricing Framework & Weighted Average Cost of Capital (WACC)

Bank pricing for Food Processing Finance is linked to floating benchmark rates (External Benchmark Lending Rate - EBLR or Marginal Cost of Funds based Lending Rate - MCLR):

$$Sanction\ Interest\ Rate = Bank\ Benchmark\ Rate\ (EBLR/MCLR) + Credit\ Spread\ (based\ on\ Risk\ Gra$$

- **Base Benchmark Interest Rate:** Typically **8.00% to 9.50% p.a.** for prime MSME and corporate borrowers.
- **AIF Interest Subvention:** Agriculture Infrastructure Fund provides a direct **3.00% p.a. interest subvention** credited quarterly by NABARD into the borrower's loan account for term loans up to ₹2 Crores.
- **Effective Net Borrowing Rate:** Reduces the interest burden to **5.00% to 6.50% p.a.** on subvention-eligible tranches.

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7.2 Income Tax Benefits & Depreciation Shields

Food processing enterprises benefit from major tax deductions under the Income Tax Act, 1961:

1. **Specialized Tax Depreciation (Section 32):** Cold storage facilities, Controlled Atmosphere (CA) chambers, specialized milk processing machinery, and solar power plants qualify for accelerated **40% Written Down Value (WDV) tax depreciation**, compared to 15% for general industrial machinery.
2. **Interest Tax Shield (Section 36(1)(iii)):** All interest payments on term loans and working capital overdrafts are fully deductible business expenses. For a corporate entity paying a **25.17% corporate tax rate** (under Section 115BAA), the post-tax interest rate is calculated as:

$$Effective\ Post\ -\ Tax\ Rate\ =\ Net\ Nominal\ Rate\ \times\ (1\ -\ Corporate\ Tax\ Rate)$$

For instance, a net nominal rate of 6.25% p.a. yields an effective post-tax borrowing cost of just **4.68% p.a.**

3. **GST Input Tax Credit (ITC) Recovery:** Processing machinery and civil construction materials (excluding land) incur 18% GST. Commercial food processing enterprises claim 100% Input Tax Credit against GST payable on finished processed food sales, rendering the GST cost neutral.

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Module 8: Regulatory Compliance, RBI Directions, Priority Sector Lending & IRACP Rules

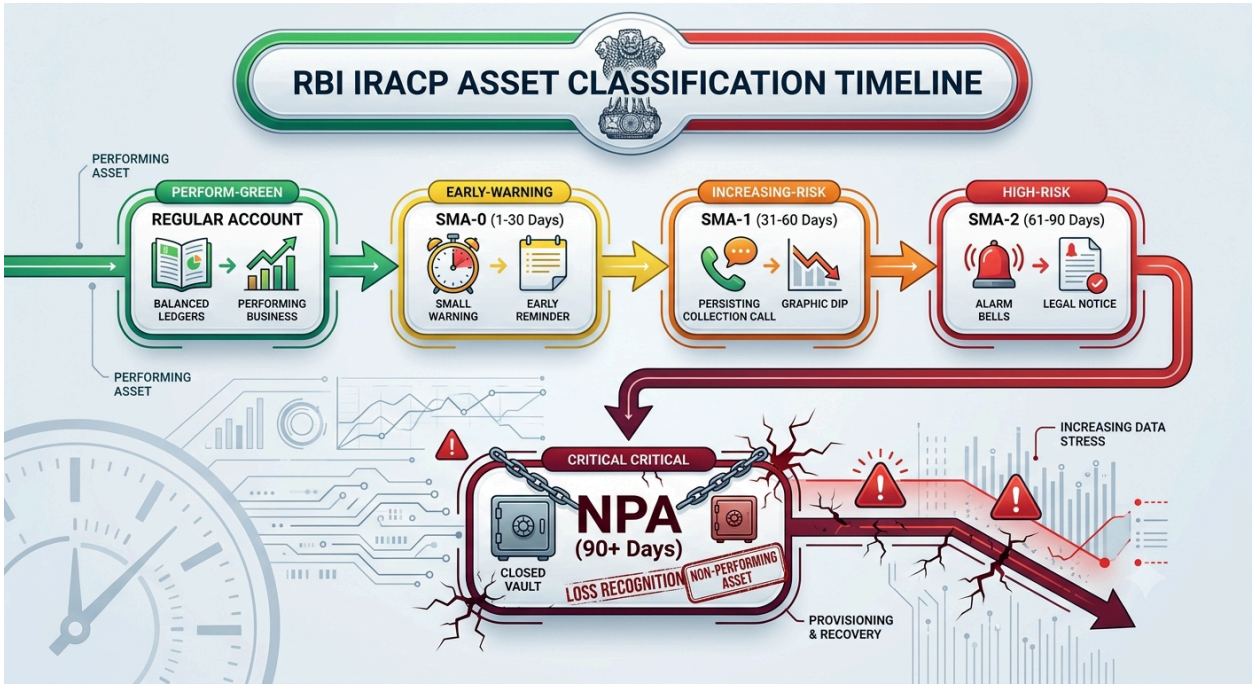
8.1 RBI Asset Classification & IRACP Delinquency Norms

Food Processing Finance facilities are subject to RBI Prudential Norms on Income Recognition, Asset Classification and Provisioning (IRACP):

- **Special Mention Account (SMA) Default Timelines:**
  - **SMA-0:** Principal or interest payment overdue for **1 to 30 days**.
  - **SMA-1:** Principal or interest payment overdue for **31 to 60 days**.
  - **SMA-2:** Principal or interest payment overdue for **61 to 90 days**.
- **Non-Performing Asset (NPA) Classification:** Overdue status exceeding **90 days** results in immediate NPA classification.
- **Revolving Overdraft "Out of Order" Default Rule:** Working capital Cash Credit lines are classified as "Out of Order" if the outstanding balance continuously exceeds the sanctioned Drawing Power for **90 days**, or if credits received during the 90-day period are insufficient to cover interest debited.

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- **Technical Review Rule:** Annual credit renewal/review must be completed within **180 days** of the due date; failure results in immediate technical default and asset downgrade.



8.2 Agricultural & Seasonal Credit Restructuring Norms

Recognizing the vulnerability of agricultural raw materials to natural calamities (droughts, floods, unseasonal rains), RBI Master Directions allow banks to restructure food processing loans affected by declared natural disasters without an automatic downgrade to NPA status, subject to moratorium extension up to 12 months and tenure lengthening.

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Module 9: Comprehensive Real-World Case Study (Mumbai Mega Food Processing & Agro-Exports Pvt. Ltd.)

9.1 Corporate Background & Project Scope

Mumbai Mega Food Processing & Agro-Exports Pvt. Ltd. (MMFPAEPL) is an established mid-market food processing enterprise in Maharashtra. To capitalize on surging export demand for processed fruit pulps, frozen vegetables, and aseptic fruit concentrates in the Middle East and Europe, MMFPAEPL plans to construct a state-of-the-art **Integrated Fruit & Vegetable Processing Facility & IQF Cold Hub** in Nashik, Maharashtra.

- **Total Project Cost: ₹50,00,00,000** *(₹50 Crores)*
  - Land & Site Development: ₹5,00,00,000 *(₹5 Crores - 100% promoter funded)*
  - Factory Civil Works & Cleanrooms: ₹15,00,00,000 *(₹15 Crores)*
  - Imported IQF, Fruit Pulping & Aseptic Packaging Lines (SS 316): ₹22,00,00,000 *(₹22 Crores)*
  - Utilities (ETP, Steam Boiler, Solar Roof, 5,000 MT Cold Store): ₹8,00,00,000 *(₹8 Crores)*
- **Projected Annual Sales Turnover: ₹80,00,00,000** *(₹80 Crores at 80% capacity utilization)*
- **Borrower Corporate Income Tax Rate: 25.17%** *(under Section 115BAA)*
- **Corporate Internal Return on Capital Employed (ROCE): 16.00% p.a.**

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9.2 Comparative Financing Options

MMFPAEPL's Chief Financial Officer evaluates two distinct financing options to fund the ₹50 Crore project:

- **Option A: Standard Non-Subsidized Commercial Capex Term Loan (30% Equity Margin)**
  - Promoter Equity Contribution (30%): **₹15,00,00,000** *(₹15 Crores)*
  - Commercial Bank Term Loan (70%): **₹35,00,00,000** *(₹35 Crores)*
  - Benchmark Interest Rate: **11.50% p.a.** *(no subvention)*
  - Loan Amortization Tenure: **7 Years** (including 1-year principal moratorium)
  - Capital Subsidy Granted: **₹0.00**
- **Option B: Structured Food Processing Finance Facility (PMKSY + AIF Subsidized - 20% Equity Margin)**
  - Promoter Equity Contribution (20%): **₹10,00,00,000** *(₹10 Crores - unlocking ₹5 Crores equity)*
  - Structured Subsidized Term Loan (80%): **₹40,00,00,000** *(₹40 Crores)*
  - MoFPI PMKSY Capital Grant (35% of eligible plant/machinery): **-₹10,50,00,000** *(₹10.50 Crores grant disbursed at COD to adjust debt)*
  - Net Principal Loan Amount Post-Grant Adjustment: **₹29,50,00,000** *(₹29.50 Crores)*
  - Agriculture Infrastructure Fund (AIF) Interest Subvention: **3.00% p.a.** on ₹2 Crores tranche
  - Gross Bank Interest Rate: **8.75% p.a.**; Weighted Net Interest Rate: **8.60% p.a.**
  - Loan Amortization Tenure: **10 Years** (including 2-year principal moratorium)

9.3 Detailed Step-by-Step Mathematical Cash Flow Modeling

1. Year 1 Gross Interest Outflow Comparison

- **Option A (Commercial Loan):**

$$Gross\ Interest = ₹35,00,00,000 \times 11.50\% = ₹4,02,50,000.00$$

- **Option B (Subsidized Facility):** During Year 1 construction, prior to grant adjustment, AIF subvention reduces interest on ₹2 Cr tranche by 3.00%:

$$Weighted\ Interest\ Rate = \frac{(₹2,00,00,000 \times 5.75\%) + (₹38,00,00,000 \times 8.75\%)}{₹40,00,00,000} = 8.60\%\ p.a.$$

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$$Gross\ Interest\ (Pre\ -\ Grant) = ₹40,00,00,000 \times 8.60\% = ₹3,44,00,000.00$$

Upon MoFPI ₹10.50 Crore grant adjustment at COD (end of Year 1), net principal drops to ₹29.50 Crores.

$$Year\ 2\ Interest\ (Post\ -\ Grant) = ₹29,50,00,000 \times 8.60\% = ₹2,53,70,000.00$$

2. Income Tax Shield & Net Post-Tax Interest Cost

- **Option A (Commercial Loan - Year 1 Post-Tax Cost):**

$$Tax\ Shield\ (25.17\%) = ₹4,02,50,000.00 \times 0.2517 = ₹1,01,30,925.00$$

$$Net\ Post\ -\ Tax\ Interest = ₹4,02,50,000.00 - ₹1,01,30,925.00 = ₹3,01,19,075.00$$

- **Option B (Subsidized Facility - Year 2 Post-Tax Cost):**

$$Tax\ Shield\ (25.17\%) = ₹2,53,70,000.00 \times 0.2517 = ₹63,85,629.00$$

$$Net\ Post\ -\ Tax\ Interest = ₹2,53,70,000.00 - ₹63,85,629.00 = ₹1,89,84,371.00$$

$$Annual\ Post\ -\ Tax\ Interest\ Savings\ in\ Year\ 2 = ₹3,01,19,075.00 - ₹1,89,84,371.00 =+ ₹1,11,3$$

3. Reinvestment Profits on Preserved Promoter Equity

By choosing Option B, MMFPAEPL contributes **₹10 Crores equity** instead of **₹15 Crores**, preserving **₹5 Crores in corporate cash reserves**. Deploying this preserved ₹5 Crores into export trading operations generating 16.00% p.a. ROCE yields:

$$Annual\ Pre\ -\ Tax\ ROCE\ Income = ₹5,00,00,000 \times 16.00\% =+ ₹80,00,000.00$$

$$Annual\ Post\ -\ Tax\ ROCE\ Income\ (@\ 25.17\%Tax) = ₹80,00,00,000 \times (1 - 0.2517) =+ ₹59,86,40$$

4. Year 2 Debt Service Coverage Ratio (DSCR) Impact

At 80% capacity utilization, MMFPAEPL generates **₹12,00,00,000 EBITDA** (PAT ₹5.00 Cr + Depreciation ₹4.46 Cr + Interest ₹2.54 Cr): * **Option A (Commercial Loan - Principal Amortization ₹5.83 Cr + Interest ₹4.03 Cr = ₹9.86 Cr Debt Service):**

$$DSCR_{Option\ A} = \frac{₹12,00,00,000}{₹9,86,00,000} = 1.22x \quad (Marginal\ Credit\ Rating)$$

* **Option B (Subsidized Facility - Principal Amortization ₹3.28 Cr + Interest ₹2.54 Cr = ₹5.82 Cr Debt Service):**

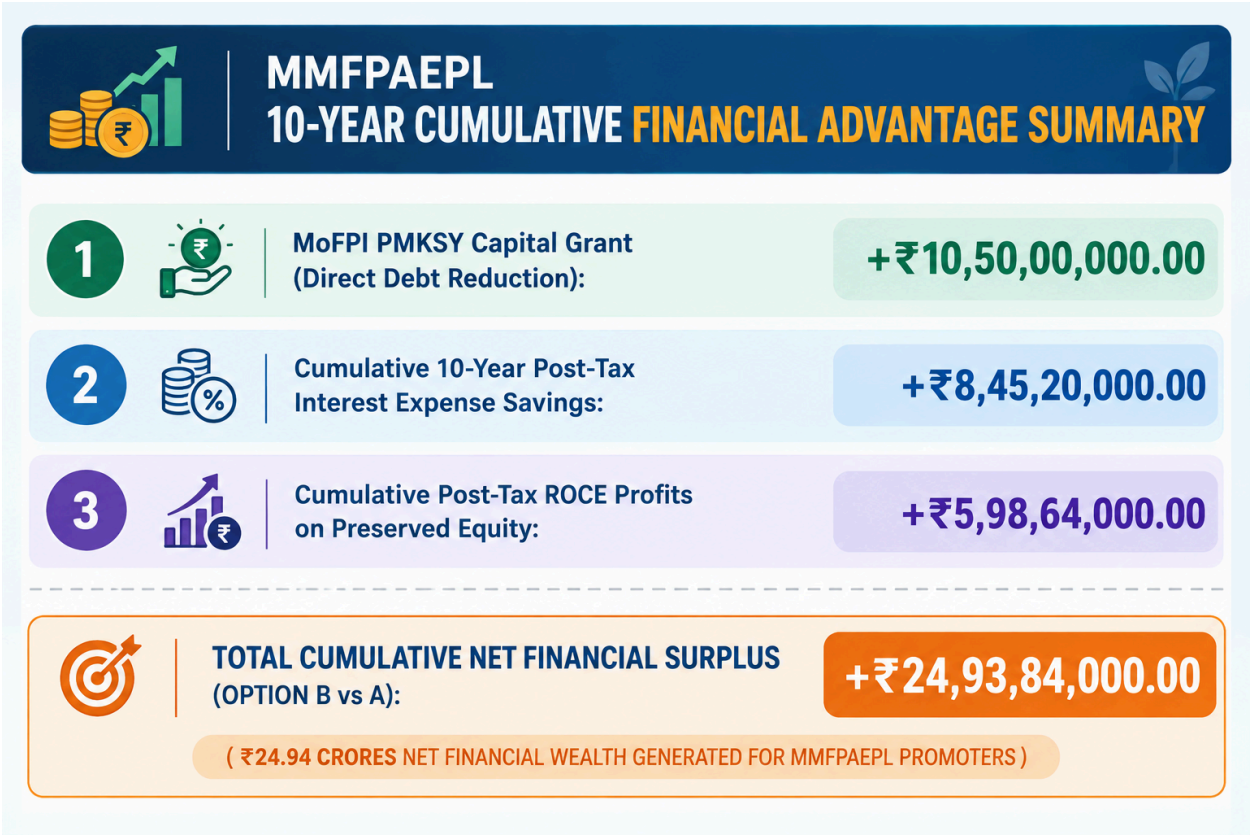
$$DSCR_{Option\ B} = \frac{₹12,00,00,000}{₹5,82,00,000} = 2.06x \quad (Prime\ Investment\ Grade\ Rating)$$

5. Cumulative 10-Year Financial Surplus

Over the 10-year facility tenure, the combination of the **₹10.50 Crore MoFPI capital grant**, **₹3.00% AIF interest subvention**, **lower base bank interest spread**, and **ROCE profits on preserved promoter equity** generates a massive financial advantage:

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|               MMFPAEPL 10-YEAR CUMULATIVE FINANCIAL ADVANTAGE SUMMARY
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|  1. MoFPI PMKSY Capital Grant (Direct Debt Reduction):
+₹10,50,00,000.00    |
|  2. Cumulative 10-Year Post-Tax Interest Expense Savings:
+₹8,45,20,000.00     |
|  3. Cumulative Post-Tax ROCE Profits on Preserved Equity:
+₹5,98,64,000.00     |
|
-------------------------------------------------------------------------
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|  TOTAL CUMULATIVE NET FINANCIAL SURPLUS (OPTION B vs A):
+₹24,93,84,000.00    |
|  ( ₹24.94 CRORES NET FINANCIAL WEALTH GENERATED FOR MMFPAEPL PROMOTERS )
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Module 10: 10-Question Professional Certification Examination & Rationales

Examination Questions

Question 1

Under the Agriculture Infrastructure Fund (AIF) scheme, what is the maximum loan amount eligible for the 3.00% p.a. interest subvention, and what is the maximum subvention tenure? A) ₹1 Crore for 5 years B) ₹2 Crores for 7 years C) ₹5 Crores for 10 years D) ₹10 Crores for 12 years

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Question 2

What is the capital grant percentage provided under MoFPI's Pradhan Mantri Kisan SAMPADA Yojana (PMKSY) for setting up general Food Processing & Preservation capacities (CEFPPC) in general areas? A) 15% of total project cost B) 25% of building cost C) 35% of eligible plant and machinery cost (capped at ₹5 Crores) D) 50% of land cost

Question 3

Which statutory provision governs the creation of an Equitable Mortgage on land and factory buildings in India via deposit of title deeds? A) Section 172 of the Indian Contract Act, 1872 B) Section 58(f) of the Transfer of Property Act, 1882 C) Section 13(2) of the SARFAESI Act, 2002 D) Section 77 of the Companies Act, 2013

Question 4

Under Section 32 of the Income Tax Act, 1961, what is the written down value (WDV) tax depreciation rate for specialized cold storage and Controlled Atmosphere (CA) equipment? A) 10% B) 15% C) 25% D) 40%

Question 5

How are loans granted to food and agro-processing units classified under RBI Priority Sector Lending (PSL) guidelines? A) Non-Priority Commercial Lending B) Priority Sector Lending - Agriculture (Ancillary Activities) C) Priority Sector Lending - Micro Enterprises D) Personal Consumption Loans

Question 6

Within how many days must a company register a newly created hypothecation or mortgage charge with the Registrar of Companies (ROC) using Form CHG-1? A) 15 Days B) 30 Days C) 60 Days D) 90 Days

Question 7

Calculate the Maximum Permissible Bank Finance (MPBF) under Tandon Committee's Second Method for a food processor with Total Current Assets of ₹20 Crores and Current Liabilities (excluding bank borrowings) of ₹4 Crores. A) ₹12.00 Crores B) ₹15.00 Crores C) ₹16.00 Crores D) ₹18.00 Crores

Question 8

Under RBI IRACP norms, after how many days of continuous principal or interest overdue status is a term loan account classified as a Non-Performing Asset (NPA)? A) 30 Days B) 60 Days C) 90 Days D) 180 Days

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Question 9

For a corporate food processing company paying 25.17% tax, if the gross bank interest rate is 8.00% p.a. and it receives a 3.00% AIF interest subvention, what is its effective post-tax borrowing cost? A) 3.74% p.a. B) 5.00% p.a. C) 5.98% p.a. D) 6.25% p.a.

Question 10

Under the PMFME scheme for micro food processing units, what is the credit-linked capital subsidy rate and ceiling amount per unit? A) 20% subsidy capped at ₹5 Lakhs B) 35% subsidy capped at ₹10 Lakhs C) 50% subsidy capped at ₹15 Lakhs D) 75% subsidy capped at ₹20 Lakhs

Answer Key & Detailed Explanations

Answer 1: B

Rationale: Under AIF guidelines, term loans up to **₹2 Crores** receive a **3.00% p.a. interest subvention** for a maximum duration of **7 years**.

Answer 2: C

Rationale: The CEFPPC sub-scheme under PMKSY offers a capital grant of **35% of eligible plant and machinery costs** in general areas (50% in difficult/hilly areas), subject to a maximum cap of **₹5 Crores** per project.

Answer 3: B

Rationale: Section 58(f) of the Transfer of Property Act, 1882 defines an Mortgage by Deposit of Title Deeds (Equitable Mortgage) created in notified towns.

Answer 4: D

Rationale: Specialized energy-saving equipment, cold storage plants, and solar installations qualify for **40% WDV tax depreciation** under Section 32 of the Income Tax Act, 1961.

Answer 5: B

Rationale: RBI Master Directions classify food and agro-processing loans under **Priority Sector Lending (Agriculture - Ancillary Activities)** without any aggregate cap per borrower.

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Answer 6: B

Rationale: Under **Section 77 of the Companies Act, 2013**, companies must file Form CHG-1 with the ROC within **30 days** of charge creation.

Answer 7: A

Rationale: Under Tandon's Second Method:

$MPBF = 0.75 \times (Current\ Assets - Current\ Liabilities) = 0.75 \times (₹20\ Cr - ₹4\ Cr) = 0.75 \times ₹16\ C$

Answer 8: C

Rationale: Under RBI IRACP prudential norms, an advance becomes a Non-Performing Asset (NPA) if interest or principal remains overdue for more than **90 days**.

Answer 9: A

Rationale:

$$Net\ Nominal\ Rate = 8.00\% - 3.00\% = 5.00\%\ p.a.$$

$Effective\ Post - Tax\ Rate = 5.00\% \times (1 - 0.2517) = 5.00\% \times 0.7483 = 3.74\%\ p.a.$

Answer 10: B

Rationale: The PMFME scheme provides a credit-linked capital subsidy of **35% of eligible project cost**, subject to a maximum ceiling of **₹10 Lakhs** per micro-enterprise.

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